

CASH FLOW STATEMENT PREPARATION MANNIX INTL. CORP. - PART I

Chapter 8



Given data are:

- ☐ a “reformulated” balance sheet (managerial format)
- ☐ a “reformulated” income statement (NetIncome + O.C.I.)
- ☐ some additional information (from notes to FS)

To practice we will see 3 cash flow statements:

1. “standard” cash flow statement (including in the Cash Flow from Operating Activities the effects of all the income statement items using the indirect method)
2. “reformulated” cash flow statement (change in cash & cash equivalents with OCF and OFCF)
3. “reformulated” cash flow statement (change in net financial position with OCF and OFCF)

"Standard" CFS (change in C&CE)

Cash Flow from Operating Activities

Cash Flow from Investing Activities

Cash Flow from Financing Activities

Net Change in Cash and Cash
Equivalents



"Reformulated" CFS (OCF w/change in C&CE)

Operating Cash Flow

- CAPEX

Operating Free Cash Flow

Other Cash Flows

Net Change in Cash and Cash
Equivalents

Reformulation without changing
the bottom line



"Reformulated" CFS (OCF w/change in Net Financial Position)

Operating Cash Flow

- CAPEX

Operating Free Cash Flow

Other Cash Flows

Net Change in Net Financial Position

Change of the bottom line
(excluding the cash flows that do
not affect the size of the NFP)



Statement of comprehensive income for the year 2020

	Net Sales revenues	185.000	100,0%
	Consumptions of Materials	(85.000)	-45,9%
	Purchase of Services	(35.000)	-18,9%
	Payroll Costs	(40.000)	-21,6%
	Impairment of Tangible Assets	(4.000)	-2,2%
	Allowance for Doubtful Receivables	(2.500)	-1,4%
	Depreciation and Amortization	(12.000)	-6,5%
	Provisions for Litigations Risks	(15.000)	-8,1%
	Product Warranty Costs (net of Provisions Utilization)	(1.000)	-0,5%
	Operating Income	(9.500)	-5,1%
	Financial Income	3.500	1,9%
	Financial Expenses	(7.800)	-4,2%
	Earning before Unusual Items and Taxes	(13.800)	-7,5%
	Write-off of receivables (recorded in past years)	(4.000)	-2,2%
	Utilization: Allowance for Doubtful Receivables	3.500	1,9%
	Gains(Losses) from Assets Disposals	35.000	18,9%
	Litigation Settlement Expense	(10.000)	-5,4%
	Utilization: Provisions for Litigation Risks	4.000	2,2%
	Income before Taxes	14.700	7,9%
	Income Taxes	(5.900)	-3,2%
	PROFIT (LOSS) FOR THE YEAR	8.800	4,8%
	Other Comprehensive Income:		
	Revaluation of FVTOCI marketable securities	1.500	
	TOTAL COMPREHENSIVE INCOME FOR THE YEAR	10.300	



Balance Sheet reformulated "Managerial" format)

	2019	2020	Change
Accounts receivable	65.000	45.000	(20.000)
Allowance for Doubtful Receivables	(3.000)	(2.000)	1.000
Accounts Receivable, net	62.000	43.000	(19.000)
Inventory	42.000	18.000	(24.000)
CURRENT OPERATING ASSETS	104.000	61.000	(43.000)
Property Plant and Equipment (gross amount)	205.000	180.000	(25.000)
Cumulated Depreciation and Impairment Allowance	(84.000)	(45.000)	39.000
Property Plant and Equipment, net	121.000	135.000	14.000
NON CURRENT OPERATING ASSETS	121.000	135.000	14.000
Long-term Financial Assets (equity investments)	40.000	22.000	(18.000)
NON OPERATING ASSETS	40.000	22.000	(18.000)
TOTAL ASSETS	265.000	218.000	(47.000)
Accounts Payable	45.000	30.000	(15.000)
Provisions for Product Warranty Costs	6.000	8.000	2.000
Provision for Litigation Risks	12.000	23.000	11.000
OPERATING LIABILITIES	63.000	61.000	(2.000)
Payable for the Purchase of PPE	2.000	4.000	2.000
Tax Payables (for Income Taxes)	2.000	5.900	3.900
OTHER LIABILITIES	4.000	9.900	5.900
Short-term Bank Loans	32.000	12.000	(20.000)
Current Portion of Long-term Financial Loans	15.000	18.000	3.000
Long-term Financial Loans	65.000	61.000	(4.000)
Cash and Bank Accounts	(2.000)	(58.200)	(56.200)
Short-term Marketable Securities (Available for Sale)	(12.000)	(18.000)	(6.000)
NET FINANCIAL POSITION	98.000	14.800	(83.200)
Share Capital	50.000	100.000	50.000
Subscriptions Receivable (share capital increase)	(2.000)	(10.000)	(8.000)
Retained Earnings	42.000	24.000	(18.000)
Accumulated Other Comprehensive Income (Loss) - FVTOCI securit	8.000	9.500	1.500
Net Profit (Loss)	2.000	8.800	6.800
SHAREHOLDERS' EQUITY	100.000	132.300	32.300
TOTAL LIABILITIES AND EQUITY	265.000	218.000	(47.000)



Additional Information

1	Additional Share capital subscribed for:		50.000
	- of which: Contributions of Cash	25.000	
	- of which: Contributions of PPE:	10.000	
	- of which: Stock Dividend (reduction of Retained Earnings)	15.000	
2	Payment of the current portion of Long-term Financial Loans for:		15.000
3	Payment of Litigation Settlement for:		(10.000)
4	Purchase of Financial Assets for:		4.000
5	Sale of Financial Assets (book value) for:		25.000
	Gains(Losses) on Sale of Financial Assets for:	28.000	
6	Purchase of PPE for:		25.000
7	Sales of PPE (book value) for:		60.000
	Cumulated Depreciation of Sold PPE for:	55.000	
	Gains(Losses) on Sale of PPE for:	7.000	
8	The amount of purchase PPE include Leased Equipment (Financial Lease) for:		5.000
9	Financial Income include an impairment reversal of Long-term Equity Investments for:		3.000
10	AOCl increased because of a revaluation (fair value) of FVTOCl marketable securities for:		1.500

I/S: 3.500
B/S: from 8.000 to 9.500

In this exercise two additional information are missing...

A. Proceeds for Long-term borrowings;

B. Distribution of Dividends.

You have to find these two amount by reading the financial statements!



INDIRECT METHOD

+/- NET INCOME

- 1) -/+ Adjust for **“non monetary” revenues (-) and expenses (+)** not requiring cash
 - Add back depreciation
 - Other adjustments (ex. Impairment, revaluation etc.)
 - 2) -/+ Adjust for **changes in classification of revenues (-) / costs (+) that are not related to the “operating activities” section of the CFS but are related to the “investing activities” and/or “financing activities” sections** (mandatory: classification of gains (-) / losses (+) from sale of assets from “operating” to “investing”; optional: classification of interest expense (+) from “operating” to “financing”, classification of financial income (-) from “operating” to “investing”)
 - 3) +/- Adjust for **changes in noncash assets and liabilities relating to operating activities**
 - Add decreases in assets (+)
 - Deduct increases in assets (-)
 - Add increases in liabilities (+)
 - Deduct decreases in liabilities (-)
- = CASH FLOW FROM OPERATING ACTIVITIES**

Statement of comprehensive income for the year 2020

Net Sales revenues	185.000	100,0%
Consumptions of Materials	(85.000)	-45,9%
Purchase of Services	(35.000)	-18,9%
Payroll Costs	(40.000)	-21,6%
(1) Impairment of Tangible Assets	(4.000)	-2,2%
Allowance for Doubtful Receivables	(2.500)	-1,4%
(1) Depreciation and Amortization	(12.000)	-6,5%
Provisions for Litigations Risks	(15.000)	-8,1%
Product Warranty Costs (net of Provisions Utilization)	(1.000)	-0,5%
Operating Income	(9.500)	-5,1%
(1) Financial Income	3.500	1,9%
Financial Expenses	(7.800)	-4,2%
Earning before Unusual Items and Taxes	(13.800)	-7,5%
Write-off of receivables (recorded in past years)	(4.000)	-2,2%
Utilization: Allowance for Doubtful Receivables	3.500	1,9%
(2) Gains(Losses) from Assets Disposals	35.000	18,9%
Litigation Settlement Expense	(10.000)	-5,4%
Utilization: Provisions for Litigation Risks	4.000	2,2%
Income before Taxes	14.700	7,9%
Income Taxes	(5.900)	-3,2%
PROFIT (LOSS) FOR THE YEAR	8.800	4,8%
Other Comprehensive Income:		
Revaluation of FVTOCI marketable securities	1.500	
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	10.300	

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Let's now the third adjustment: **Adjust for changes in noncash assets and liabilities relating to operating activities.**

We need to select the assets/liabilities related to the Net Income.

I suggest to classify all the B/S items according to their relationship with:

- Operating Activities (O.A.)
- Investing Activities (I.A.)
- Financing Activities (F.A.)

Balance Sheet reformulated "Managerial" format)

	2019	2020	Change
O.A. { Accounts receivable	65.000	45.000	(20.000)
Allowance for Doubtful Receivables	(3.000)	(2.000)	1.000
Accounts Receivable, net	62.000	43.000	(19.000)
Inventory	42.000	18.000	(24.000)
CURRENT OPERATING ASSETS	104.000	61.000	(43.000)
I.A. { Property Plant and Equipment (gross amount)	205.000	180.000	(25.000)
Cumulated Depreciation and Impairment Allowance	(84.000)	(45.000)	39.000
Property Plant and Equipment, net	121.000	135.000	14.000
NON CURRENT OPERATING ASSETS	121.000	135.000	14.000
I.A. { Long-term Financial Assets (equity investments)	40.000	22.000	(18.000)
NON OPERATING ASSETS	40.000	22.000	(18.000)
TOTAL ASSETS	265.000	218.000	(47.000)
O.A. { Accounts Payable	45.000	30.000	(15.000)
Provisions for Product Warranty Costs	6.000	8.000	2.000
Provision for Litigation Risks	12.000	23.000	11.000
OPERATING LIABILITIES	63.000	61.000	(2.000)
I.A. { Payable for the Purchase of PPE	2.000	4.000	2.000
O.A. { Tax Payables (for Income Taxes)	2.000	5.900	3.900
OTHER LIABILITIES	4.000	9.900	5.900
F.A. { Short-term Bank Loans	32.000	12.000	(20.000)
Current Portion of Long-term Financial Loans	15.000	18.000	3.000
Long-term Financial Loans	65.000	61.000	(4.000)
Cash and Bank Accounts	(2.000)	(58.200)	(56.200)
I.A. { Short-term Marketable Securities (Available for Sale)	(12.000)	(18.000)	(6.000)
NET FINANCIAL POSITION	98.000	14.800	(83.200)
F.A. { Share Capital	50.000	100.000	50.000
Subscriptions Receivable (share capital increase)	(2.000)	(10.000)	(8.000)
Retained Earnings	42.000	24.000	(18.000)
I.A. { Accumulated Other Comprehensive Income (Loss) - FVTOCI securit	8.000	9.500	1.500
Net Profit (Loss)	2.000	8.800	6.800
SHAREHOLDERS' EQUITY	100.000	132.300	32.300
TOTAL LIABILITIES AND EQUITY	265.000	218.000	(47.000)



Net Profit (Loss)	8.800	
Depreciation and Amortization	12.000	
Impairment of Tangible Assets	4.000	
Impairment reversal (financial income)	(3.000)	
(Gains)Losses on Sale of PPE	(7.000)	
(Gains)Losses on Sale of Long-term Financial Assets	(28.000)	
"Monetary" Income		(13.200)
-/+ increase / decrease of Accounts Receivable, net	19.000	
-/+ increase / decrease of Inventory	24.000	
+/- increase / decrease of Accounts Payable	(15.000)	
+/- increase / decrease of Provisions for Product Warranty Costs	2.000	
+/- increase / decrease of Provision for Litigation Risks	11.000	
+/- increase / decrease of Tax Payables (for Income Taxes)	3.900	
-/+ increase / decrease of Net Working Capital		44.900

Cash Flow from Operating Activities	31.700
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- **Net Income is positive: 8.800**
- **Cash Earnings (Net Income + Depreciation & Amortization): 20.800**
- **Net Income is affected by relevant gains (35.000)**
- **So, the “Monetary” Income is negative: -13,200**
- **Large cash contribution from the change in Working Capital (+44.900), mainly from the decrease in A/R and Inventory.**



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TOTAL LIABILITIES AND EQUITY	265.000	218.000	(47.000)

1 Additional Share capital subscribed for:	50.000
- of which: Contributions of Cash	25.000
- of which: Contributions of PPE:	10.000
- of which: Stock Dividend (reduction of Retained Earnings)	15.000
Cash collected from Shareholders (Contribution of Cash) for:	17.000
2 Payment of the current portion of Long-term Financial Loans for:	15.000
3 Payment of Litigation Settlement for:	(10.000)
4 Purchase of Financial Assets for:	4.000
5 Sale of Financial Assets (book value) for:	25.000
Gains(Losses) on Sale of Financial Assets for:	28.000
6 Purchase of PPE for:	25.000
7 Sales of PPE (book value) for:	60.000
Cumulated Depreciation of Sold PPE for:	55.000
Gains(Losses) on Sale of PPE for:	7.000
8 The amount of purchase PPE include Leased Equipment (Financial Lease) for:	5.000
9 Financial Income include an impairment reversal of Long-term Equity Investments for:	3.000
10 AOCI increased because of a revaluation (fair value) of FVTOCI marketable securities for:	1.500

Property, Plant and Equipment:

Let's analyze the reasons of the change in the gross amount: -25.000.

- Note 1: contribution from shareholders (+10.000)
- Note 6: purchase (+25.000):
 - 5.000 through lease contracts (Note 8)
 - 20.000 (the difference) through purchases from suppliers
- Note 7: sales (-60.000).

Which transactions can generate a cash inflow/outflow?

Only transactions b)ii. and c).

b)ii. We must consider the change of the payable to suppliers for the purchase of PPE (increased by 2.000):

- the cash outflow was $-20.000 + 2.000 = -18.000$.

c) We must determine the price (NBV +/- Gains/Loss) and consider any change of the receivable to customers of PPE (0 in this example):

- the cash inflow was $+60.000 - 55.000 + 7.000 = +12.000$.

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Accounts receivable	65.000	45.000	(20.000)
Allowance for Doubtful Receivables	(3.000)	(2.000)	1.000
Accounts Receivable, net	62.000	43.000	(19.000)
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NON OPERATING ASSETS	40.000	22.000	(18.000)
TOTAL ASSETS	265.000	218.000	(47.000)
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Provisions for Product Warranty Costs	6.000	8.000	2.000
Provision for Litigation Risks	12.000	23.000	11.000
OPERATING LIABILITIES	63.000	61.000	(2.000)
Payable for the Purchase of PPE	2.000	4.000	2.000
Tax Payables (for Income Taxes)	2.000	5.900	3.900
OTHER LIABILITIES	4.000	9.900	5.900
Short-term Bank Loans	32.000	12.000	(20.000)
Current Portion of Long-term Financial Loans	15.000	18.000	3.000
Long-term Financial Loans	65.000	61.000	(4.000)
Cash and Bank Accounts	(2.000)	(58.200)	(56.200)
Short-term Marketable Securities (Available for Sale)	(12.000)	(18.000)	(6.000)
NET FINANCIAL POSITION	98.000	14.800	(83.200)
Share Capital	50.000	100.000	50.000
Subscriptions Receivable (share capital increase)	(2.000)	(10.000)	(8.000)
Retained Earnings	42.000	24.000	(18.000)
Accumulated Other Comprehensive Income (Loss) - FVTOCI securit	8.000	9.500	1.500
Net Profit (Loss)	2.000	8.800	6.800
SHAREHOLDERS' EQUITY	100.000	132.300	32.300
TOTAL LIABILITIES AND EQUITY	265.000	218.000	(47.000)

1 Additional Share capital subscribed for:	50.000
- of which: Contributions of Cash	25.000
- of which: Contributions of PPE:	10.000
- of which: Stock Dividend (reduction of Retained Earnings)	15.000
Cash collected from Shareholders (Contribution of Cash) for:	17.000
2 Payment of the current portion of Long-term Financial Loans for:	15.000
3 Payment of Litigation Settlement for:	(10.000)
4 Purchase of Financial Assets for:	4.000
5 Sale of Financial Assets (book value) for:	25.000
Gains(Losses) on Sale of Financial Assets for:	28.000
6 Purchase of PPE for:	25.000
7 Sales of PPE (book value) for:	60.000
Cumulated Depreciation of Sold PPE for:	55.000
Gains(Losses) on Sale of PPE for:	7.000
8 The amount of purchase PPE include Leased Equipment (Financial Lease) for:	5.000
9 Financial Income include an impairment reversal of Long-term Equity Investments for:	3.000
10 AOCI increased because of a revaluation (fair value) of FVTOCI marketable securities for:	1.500

Long-Term Financial Assets:

Let's analyze the reasons of the change in the gross amount: -18.000.

- Note 4: purchase (+4.000)
- Note 5: sales (-25.000)
- Note 9: revaluation (reversal of a previous impairment) (+3.000).

Which transactions can generate a cash inflow/outflow?

Only transactions a) and b).

a) There is no payable to suppliers :

- the cash outflow was -4.000.
- We must determine the price (NBV +/- Gains/Loss) and consider any change of the receivable to customers (0 in this example):
 - the cash inflow was +25.000 + 28.000 = +53.000.

Marketable Securities:

Usually there are several transactions (purchases and sales).

We may take the total change (+6.000) excluding any change in Fair Value (+1.500):

- the net cash outflow was -6.000 + 1.500 = -4.500.

Purchase of Property Plant and Equipment	(20.000)	
Change in A/P for purchase of PPE	2.000	
Investment in Property Plant and Equipment		(18.000)
Sale of Property Plant and Equipment	5.000	
Gains(Losses) on Sale of PPE	7.000	
Change in Receivable for sale of PPE	0	
Divestment of Property Plant and Equipment		12.000
Purchase of Long-term Financial Assets	(4.000)	
Change in Payables for purchase of long-term financial assets	0	
Investment in Long-term Financial Assets		(4.000)
Sale of Long-term Financial Assets	25.000	
Gains(Losses) on Sale of Long-term Financial Assets	28.000	
Change in Receivables for sale of Long-term Financial Assets	0	
Divestment of Long-term Financial Assets		53.000
Change in Marketable Securities	(6.000)	
Change in AOCI (revaluation) for Marketable Securities	1.500	
Net Investment in Marketable Securities		(4.500)

Cash Flow from Investing Activities

38.500

The Cash Flow (+38.500) is significantly affected by the disposal of financial assets (+53.000).

CAPEX (based on cash flows) are -6.000 (-18.000 +12.000) but:

- Remember the *non cash transaction*: +5.000 for lease contracts and + 10.000 for shareholders' contribution
- Attention to what you see in the B/S: a decrease of the gross amount of PPE of -25.000.
- CAPEX / Depreciation = 6.000 / 12.000 = 0,50 or 21.000 / 12.000 = 1,75 ?



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Property Plant and Equipment, net	121.000	135.000	14.000
NON CURRENT OPERATING ASSETS	121.000	135.000	14.000
Long-term Financial Assets (equity investments)	40.000	22.000	(18.000)
NON OPERATING ASSETS	40.000	22.000	(18.000)
TOTAL ASSETS	265.000	218.000	(47.000)
Accounts Payable	45.000	30.000	(15.000)
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Provision for Litigation Risks	12.000	23.000	11.000
OPERATING LIABILITIES	63.000	61.000	(2.000)
Payable for the Purchase of PPE	2.000	4.000	2.000
Tax Payables (for Income Taxes)	2.000	5.900	3.900
OTHER LIABILITIES	4.000	9.900	5.900
Short-term Bank Loans	32.000	12.000	(20.000)
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SHAREHOLDERS' EQUITY	100.000	132.300	32.300
TOTAL LIABILITIES AND EQUITY	265.000	218.000	(47.000)

1 Additional Share capital subscribed for:	50.000
- of which: Contributions of Cash	25.000
- of which: Contributions of PPE:	10.000
- of which: Stock Dividend (reduction of Retained Earnings)	15.000
Cash collected from Shareholders (Contribution of Cash) for:	17.000
2 Payment of the current portion of Long-term Financial Loans for:	15.000
3 Payment of Litigation Settlement for:	(10.000)
4 Purchase of Financial Assets for:	4.000
5 Sale of Financial Assets (book value) for:	25.000
Gains(Losses) on Sale of Financial Assets for:	28.000
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7 Sales of PPE (book value) for:	60.000
Cumulated Depreciation of Sold PPE for:	55.000
Gains(Losses) on Sale of PPE for:	7.000
8 The amount of purchase PPE include Leased Equipment (Financial Lease) for:	5.000
9 Financial Income include an impairment reversal of Long-term Equity Investments for:	3.000
10 AOCI increased because of a revaluation (fair value) of FVTOCI marketable securities for:	1.500

Long-Term Financial Liabilities:

Let's analyze the reasons of the change in the gross amount:

	Beg.	End.	Change
Current Portion of Long-term Financial Loans	15.000	18.000	3.000
Long-term Financial Loans	65.000	61.000	(4.000)

a) Note 2: Payment of the current portion of LT loans (-15.000)

b) (?) Proceeds for Long-term borrowings

Let's identify any addition to LT financial loans:

$$65.000 - 18.000 + x = 61.000$$

$$x = +14.000$$

But this increase also depends on (Note 8) lease contracts (+5.000)

- The cash inflow was $+14.000 - 5.000 = +9.000$.

Short-term Bank Loans:

Usually there are several transactions (borrowings and reimbursement).

We may take the total change (-20.000)

- the net cash outflow was -20.000

	2019	2020	Change
Accounts receivable	65.000	45.000	(20.000)
Allowance for Doubtful Receivables	(3.000)	(2.000)	1.000
Accounts Receivable, net	62.000	43.000	(19.000)
Inventory	42.000	18.000	(24.000)
CURRENT OPERATING ASSETS	104.000	61.000	(43.000)
Property Plant and Equipment (gross amount)	205.000	180.000	(25.000)
Cumulated Depreciation and Impairment Allowance	(84.000)	(45.000)	39.000
Property Plant and Equipment, net	121.000	135.000	14.000
NON CURRENT OPERATING ASSETS	121.000	135.000	14.000
Long-term Financial Assets (equity investments)	40.000	22.000	(18.000)
NON OPERATING ASSETS	40.000	22.000	(18.000)
TOTAL ASSETS	265.000	218.000	(47.000)
Accounts Payable	45.000	30.000	(15.000)
Provisions for Product Warranty Costs	6.000	8.000	2.000
Provision for Litigation Risks	12.000	23.000	11.000
OPERATING LIABILITIES	63.000	61.000	(2.000)
Payable for the Purchase of PPE	2.000	4.000	2.000
Tax Payables (for Income Taxes)	2.000	5.900	3.900
OTHER LIABILITIES	4.000	9.900	5.900
Short-term Bank Loans	32.000	12.000	(20.000)
Current Portion of Long-term Financial Loans	15.000	18.000	3.000
Long-term Financial Loans	65.000	61.000	(4.000)
Cash and Bank Accounts	(2.000)	(58.200)	(56.200)
Short-term Marketable Securities (Available for Sale)	(12.000)	(18.000)	(6.000)
NET FINANCIAL POSITION	98.000	14.800	(83.200)
Share Capital	50.000	100.000	50.000
Subscriptions Receivable (share capital increase)	(2.000)	(10.000)	(8.000)
Retained Earnings	42.000	24.000	(18.000)
Accumulated Other Comprehensive Income (Loss) - FVTOCI securit	8.000	9.500	1.500
Net Profit (Loss)	2.000	8.800	6.800
SHAREHOLDERS' EQUITY	100.000	132.300	32.300
TOTAL LIABILITIES AND EQUITY	265.000	218.000	(47.000)

1 Additional Share capital subscribed for:	50.000
- of which: Contributions of Cash	25.000
- of which: Contributions of PPE:	10.000
- of which: Stock Dividend (reduction of Retained Earnings)	15.000
Cash collected from Shareholders (Contribution of Cash) for:	17.000
2 Payment of the current portion of Long-term Financial Loans for:	15.000
3 Payment of Litigation Settlement for:	(10.000)
4 Purchase of Financial Assets for:	4.000
5 Sale of Financial Assets (book value) for:	25.000
Gains(Losses) on Sale of Financial Assets for:	28.000
6 Purchase of PPE for:	25.000
7 Sales of PPE (book value) for:	60.000
Cumulated Depreciation of Sold PPE for:	55.000
Gains(Losses) on Sale of PPE for:	7.000
8 The amount of purchase PPE include Leased Equipment (Financial Lease) for:	5.000
9 Financial Income include an impairment reversal of Long-term Equity Investments for:	3.000
10 AOCI increased because of a revaluation (fair value) of FVTOCI marketable securities for:	1.500

Net Equity:

- Let's analyze the change of Net Equity:

	Beg.	End.	Change
Share Capital	50.000	100.000	50.000
Subscriptions Receivable	(2.000)	(10.000)	(8.000)
Retained Earnings	42.000	24.000	(18.000)
A.O.C.I. – FVTOCI securities	8.000	9.500	1.500
Net Profit (Loss)	2.000	8.800	6.800

Note 1: increase of share capital (+50.000); but the contribution in cash was only 25.000.

We also must consider the change in subscription receivable (increase of 8.000)

- The cash inflow was $+25.000 - 8.000 = +17.000$.

(?) Distribution of Dividends

- The change of Retained Earnings was a decrease (-18.000), but this change is also affected by:
 - Note 1: - a decrease because of stock dividends (-15.000)
 - An increase because of the Net Profit from the previous year (+2.000)
- The cash outflow was $-18.000 + 15.000 - 2.000 = -5.000$.

Payment of the current portion of Long-term Financial Loans	(15.000)
Proceeds from Long-term Financial Loans	9.000
Net change in Short-term Bank Loans	(20.000)
Issuance of Share Capital (cash contributions)	25.000
Change in Subscriptions Receivable	(8.000)
Proceeds from issuance of Share Capital	17.000
Dividends Paid	(5.000)

Cash Flow from Financing Activities	(14.000)
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The Cash Flow (-14.000) is affected by:

- **Transactions with banks and other lenders (-26.000)**
- **Transactions with shareholders (+12.000)**

In the B/S the overall change of financial liabilities is -21.000 (the difference is for the lease contracts, +5.000)

In the B/S the increase of the share capital was +50.000 but the cash collected was only +17.000.



Net Profit (Loss)	8.800
Depreciation and Amortization	12.000
Impairment of Tangible Assets	4.000
Impairment reversal (financial income)	(3.000)
(Gains)Losses on Sale of PPE	(7.000)
(Gains)Losses on Sale of Long-term Financial Assets	(28.000)
"Monetary" Income	(13.200)
-/+ increase / decrease of Accounts Receivable, net	19.000
-/+ increase / decrease of Inventory	24.000
+/- increase / decrease of Accounts Payable	(15.000)
+/- increase / decrease of Provisions for Product Warranty Costs	2.000
+/- increase / decrease of Provision for Litigation Risks	11.000
+/- increase / decrease of Tax Payables (for Income Taxes)	3.900
-/+ increase / decrease of Net Working Capital	44.900

Cash Flow from Operating Activities	31.700
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The total cash flow was positive (+56.200) but remember what we know now, mainly:

- **Negative “monetary” net income (-13.200)**
- **Strong decrease of Working Capital (+44.900)**
- **A nonrecurring disposal of Financial Assets (+53.000)**

Purchase of Property Plant and Equipment	(20.000)
Change in A/P for purchase of PPE	2.000
Investment in Property Plant and Equipment	(18.000)
Sale of Property Plant and Equipment	5.000
Gains(Losses) on Sale of PPE	7.000
Change in Receivable for sale of PPE	0
Divestment of Property Plant and Equipment	12.000
Purchase of Long-term Financial Assets	(4.000)
Change in Payables for purchase of long-term financial assets	0
Investment in Long-term Financial Assets	(4.000)
Sale of Long-term Financial Assets	25.000
Gains(Losses) on Sale of Long-term Financial Assets	28.000
Change in Receivables for sale of Long-term Financial Assets	0
Divestment of Long-term Financial Assets	53.000
Change in Marketable Securities	(6.000)
Change in AOCI (revaluation) for Marketable Securities	1.500
Net Investment in Marketable Securities	(4.500)

Cash Flow from Investing Activities	38.500
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Payment of the current portion of Long-term Financial Loans	(15.000)
Proceeds from Long-term Financial Loans	9.000
Net change in Short-term Bank Loans	(20.000)
Issuance of Share Capital (cash contributions)	25.000
Change in Subscriptions Receivable	(8.000)
Proceeds from issuance of Share Capital	17.000
Dividends Paid	(5.000)

Cash Flow from Financing Activities	(14.000)
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Net Change in Cash & Cash Equivalents	56.200
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Cash & Cash Equivalents at beginning of year	2.000
Net Increase (decrease) in Cash & Cash Equivalents	56.200
Cash & Cash Equivalents at end of year	58.200

2021 - FINANCIAL STATEMENTS ANALYSIS (ADVANCED COURSE)

